

RESEARCH ADDENDUM — SESSION XVI

Bittensor Ecosystem — Incident Report & Strategic Analysis

Date: April 30, 2026 | Event date: April 10, 2026 | Sources: TAO Daily (4 articles)

This document updates the record established in the Bittensor Ecosystem Research Archive and the Supplemental Research Archive (both Session XVI). The Covenant AI departure is the single most significant event in Bittensor's public history. It changed the ecosystem narrative, triggered protocol reform discussions, and — for this project specifically — was the founding incident that made an independent, operator-controlled trading system necessary.

The previous record held the Jensen Huang / Chamath / Covenant-72B moment as a high point of Bittensor validation. That moment was real. What followed it was not. This document corrects and completes the record.

1. Sources — Read in Full

#	Title	Author	Date
1	James Altucher: 'Here's How Bittensor Prevents the Next Covenant'	TAO Daily	Apr 2026
2	Covenant Left. Bittensor Has Other 20+ State-of-the-Art Subnets	Ige A / TAO Daily	Apr 11, 2026
3	Subnet Owners Respond to the Covenant Exit	TAO Daily	Apr 10, 2026
4	'I'm Not Upset or Afraid' — Const Responds to Covenant AI's Departure	Ige A / TAO Daily	Apr 10, 2026

2. Founding Context — Why This Document Exists

The night before Covenant AI's exit — April 9, 2026 — the operator of this project staked approximately **\$1,000 USD** across the three subnets Covenant controlled: SN3 (Templar), SN39 (Basilica), and SN81 (Grail). The following morning, the exit was announced. Hundreds of millions were wiped from the ecosystem. Those three positions moved against the stake almost immediately. The capital was not recovered.

The loss raised a direct question: if you cannot trust subnet owners not to exit without warning, and you cannot trust the market not to reprice instantaneously, then you need a system that responds faster than a human can, that enforces risk controls automatically, and that keeps an honest ledger of every position and every transaction so nothing is ever obscured or forgotten.

TaoBot is the answer to that question. Every feature in this system — the circuit breaker, the drawdown limit, the stop loss, the Privacy Mode, the transaction audit trail, the webhook alerts, the honest accounting baseline — exists, in part, because of what happened on the night of April 9.

This is not a footnote. It is the founding motivation. It belongs in the record.

3. What Happened — The Incident

3.1 Covenant AI's Role Before the Exit

Covenant AI, led by Sam Dare, operated three subnets that together formed the backbone of Bittensor's most celebrated and visible AI work:

Subnet	Name	Role in the Stack
SN3	Templar	Pre-training layer — ran the Covenant-72B training run, completed late March 2026
SN39	Basilica	Compute layer — GPU orchestration supporting the training pipeline
SN81	Grail	Fine-tuning layer — refinement and specialization of trained models

3.2 The Exit

After the Covenant-72B training run completed in late March 2026, Sam Dare executed an abrupt, unilateral exit from the Bittensor ecosystem on or around April 9–10, 2026. The departure included:

- Abandonment of operator keys for SN3, SN39, and SN81
- A large TAO position dump (referenced in reporting as 37,000+ τ)
- A public statement by Dare framing the exit as a principled objection to Bittensor's direction
- Immediate collapse in those subnet token prices
- **Estimated hundreds of millions of dollars wiped from the ecosystem**

3.3 The Covenant-72B Distinction

It is important to separate the training run from the exit. The Covenant-72B model is real. The training completed. The weights are published under an Apache license — they are openly available and permanent. The Jensen Huang / Chamath validation of that work was also real. What is not real is any implication that Covenant's continued presence was guaranteed. The work outlived the team. The team did not stay.

Record correction: the Jensen/Chamath moment validated the technology. It did not validate the operator's long-term commitment. Those are different things.

4. Const's Response — 'I'm Not Upset or Afraid'

Bittensor's founder (Const) was interviewed by TAO Daily on April 10, 2026 — the same day as the exit. His response was immediate, measured, and structured. He declined to be reactive and instead announced a 3-track plan.

His framing of the event:

He also thanked Sam Dare publicly on X for "helping further Bittensor's decentralization" — a sharp, confident signal that the exit would be used to accelerate governance improvements rather than be treated as a defeat.

4.1 Track 1 — Revive (Immediate Priority)

Goal: operational continuity for SN3, SN39, SN81. Not a clean restart — find team members already inside Covenant's technical stack and hand them the validator keys.

4.2 Track 2 — Reform (Weeks to Months)

Const referenced prior internal discussions around 'lock-based subnet ownership' — mechanisms that would make unilateral exits economically self-defeating or technically difficult. He emphasized careful implementation over a rushed crisis patch.

4.3 Track 3 — Rebut (Narrative)

Dare's public statement framed the exit as a principled objection to Const's centralized control. Const posted direct rebuttals on X disputing this characterization point by point. Multiple subnet owners with direct knowledge of Dare's history with Const publicly contradicted Dare's account.

5. The Community Response — The Ecosystem Held

Within hours of the exit announcement, prominent subnet owners issued public statements. The response was near-unanimous: rejection of Dare's narrative, reaffirmation of Bittensor allegiance, and concrete proposals for structural resilience.

Key statements (verbatim):

Jon Durbin — Chutes (SN64, largest subnet on Bittensor):

Durbin also described Chutes' structure: a group of independent corporations with no CEO, funds locked in a smart contract paying staking rewards to team members. He offered to help other subnet teams adopt the same structure to insulate against unilateral founder exits.

Will Squires — Macrocosmos (SN1, SN9, SN13):

Brian McCrindle — Founding Engineer, Macrocosmos:

Will (Bitcast co-founder) — on decentralization:

Seby — RESI:

The pattern:

Every owner who spoke publicly did two things: (1) they declared their subnet permanently part of Bittensor, and (2) they defended Const with specific, verifiable accounts of past support — funding, code, team-building — that contradicted Dare's 'principled objection' framing. The community response was not performative loyalty. It was testimony.

6. James Altucher's 5 Fixes — Preventing the Next Covenant

James Altucher's analysis was the most structured investor-side response. Five specific protocol and ecosystem changes:

#	Fix	Rationale
1	Structured sell schedules — on-chain SEC-style 10b5-1 plans for miners	Prevents surprise dumps; market can absorb scheduled sales
2	Sandbox miner work to cloud — models and code survive founder exit	Preserves technical contributions independently of who holds the key
3	More subnets — reduce single-entity concentration risk	80/20 rule is safer with more subnets; one exit causes less chaos
4	Flip emissions: ~80% to miners, less to owners	Forces owners to earn by building value, not by holding keys passively
5	Build economic flywheels, not research projects	'If the founder disappears tomorrow, does the subnet still run?' — infrastructure vs. R&D

Altucher's investor due diligence checklist:

Before staking in any subnet, ask these questions in order:

1. How dependent is the subnet on its miners?

Good sign: subnet cannot survive without miners (miner dependence = product survives founder exit).

Red flag: subnet works fine without miners (value resides in founder control, not distributed infrastructure).

2. How are subnet owners incentivizing miners?

3. Is your portfolio diversified across multiple subnets?

4. Does the subnet have a real economic flywheel beyond emissions?

The definitive Altucher test, verbatim:

7. The Ecosystem Depth — 20+ SOTA Subnets That Kept Building

The TAO Daily article published April 11 made the case that the network was always deeper than any single team. The following subnets were highlighted as state-of-the-art in their domains — and are directly relevant to TaoBot's subnet scoring and staking strategy:

Subnet	Domain	SOTA Claim / Key Metric
Chutes SN64	Compute/Inference	Largest subnet; 1/6th competitor cost; #1 on OpenRouter
Targon SN4	Enterprise GPU	TEE-supported decentralized compute; 1/6th centralized cost
Ridges SN62	Coding/DevTools	Beat Claude + Cursor on SWE Benchmark at 1/70th cost

Subnet	Domain	SOTA Claim / Key Metric
Synth SN50	Finance/Prediction	\$3K → \$50K on Polymarket (16x); price path forecasting
Yanez SN54	Fraud/KYC AI	Multi-year bank contracts; targeting \$200B+ market; live revenue
Metanova SN68	Drug Discovery	AI discovery of novel pharmaceutical molecules; bounty system
Zeus SN18	Weather	Most accurate forecasting; outperforming energy-trader benchmarks
Bitmind SN34	Deepfake Detection	World's best deepfake detection on decentralized infra
Score SN44	Computer Vision	78% benchmark accuracy; approaching 79% human gold standard
IOTA SN9	AI Training	'Napster of AI training' — everyday laptop participation
Quasar SN24	Training	First decentralized MoE training; outperforms OpenAI MRCR V2
Data Universe SN13	Data	World's largest decentralized data scraper; feeds other subnets
Hippius SN65	Storage	1/400th cost of Filecoin; decentralized cloud storage
Vanta Trading	Prop Trading	\$30M+ in rewards distributed; 100% reward split
ItsAI SN32	AI Text Detection	World's best AI text detector
Vidaio SN85	Video AI	4K upscaling; ~80% file size reduction; cheapest video AI
404-Gen SN17	3D Generation	World's largest decentralized 3D collection; Unity plugin
D-Sperse SN2	zkML / Security	'SSL for AI' — cryptographic proofs for verifiable inference
Gradients SN56	AutoML	World's cheapest 1-click AutoML platform
Bitcast SN93	Creator Marketing	AI-validated brand campaigns; already profitable

— TAO Daily, April 11, 2026

8. TaoBot Strategic Implications

8.1 Subnet Risk Classification

The Covenant event establishes a new required risk dimension in subnet scoring: **founder-dependency risk**. Altucher's test applies directly to how TaoBot scores and weights subnet alpha positions.

Proposed classification (to be implemented in future session):

Risk Class	Definition	TaoBot Action
Infrastructure	Subnet cannot operate without miners. Flywheel exists, no single miner key controls continuity.	Full position; high priority
Founder-Dependent	Subnet runs fine without miners. Value in founder's reduced position-capture focused reward distribution.	Reduced position; high priority
Transitioning	Formerly operated by departed team. New validator subject to first stable coin test (operational SN81)	Excluded from first stable coin test

8.2 Subnets to Watch (Post-Covenant)

Based on the SOTA subnet analysis and the Altucher flywheel test, these subnets represent the highest-quality targets for TaoBot alpha staking in the post-Covenant ecosystem:

- Chutes (SN64) — infrastructure subnet, largest on network, smart-contract governance
- Ridges (SN62) — real product (coding assistant), measurable SOTA performance, revenue model
- Synth (SN50) — real product (prediction market), demonstrated financial returns
- Yanez (SN54) — enterprise contracts, regulated market exposure, live revenue
- Targon (SN4) — TEE-supported enterprise GPU, real business model

8.3 SN3 / SN39 / SN81 — Current Status

These three subnets are in Const's 'Revive' track as of April 10, 2026. They should be treated as Transitioning (see risk classification above) until new validator operators are publicly confirmed. TaoBot should not stake into these subnets during the transition period.

8.4 Why the Existing TaoBot Features Are the Right Response

- Circuit breaker (15% daily): triggers before a Covenant-scale event wipes a position fully
- Stop loss (8%): exits a position before subnet repricing compounds
- Max drawdown (20%): total portfolio floor — no single event can erase more than 1/5th
- Transaction audit trail: every stake is recorded with tx_hash + Taostats link — nothing is opaque
- Webhook alerts: real-time notification if any gate fires during an adverse event
- Privacy Mode: sensitive positions are not visible by default — operational security

9. Record Correction — Prior Archive Update

The Bittensor Ecosystem Research Archive (Session XVI, Vol. I) and the Supplemental Research Archive (Session XVI, Vol. II) both contain references to the Jensen Huang / Chamath / Covenant-72B validation moment as a current positive indicator. This addendum updates that record.

Item	Prior Record	Corrected Record
Covenant status	Active, high-profile team on SN3/39/81; recently completed 72B training	Exited April 10, 2026. SN3/39/81 in transition. Model weights preserved (Apache).
SN3 Templar	Active flagship subnet; completed 72B training	Operator departed. Const executing revival plan. Do not stake until new operator confirmed.
SN39 Basilica	Active compute layer under Covenant	Operator departed. Transitioning status.
SN81 Grail	Active fine-tuning layer under Covenant	Operator departed. Transitioning status.
Covenant-72B model	Recently completed; flagship achievement	Weights preserved under Apache license. Work is real and permanent. Team is gone.
Ecosystem resilience	Untested at that date	Tested April 10, 2026. Held. 20+ SOTA subnets continued building.

Closing Note

The Covenant exit was painful for everyone holding SN3, SN39, and SN81 positions. For this project's operator, that pain was immediate and personal — approximately \$1,000 USD staked the night before, positions caught in the

repricing, no automated system in place to respond.

That is exactly the scenario TaoBot exists to prevent from happening again. Not to predict exits — no system can do that with certainty. But to respond faster than a human can, to enforce hard limits automatically, to keep a complete and honest record, and to never let a single event erase everything.

Const called it a spring forward moment. So did this project.

— *II Agent, Session XVI Addendum, April 30 2026*

Sources: TAO Daily — taodaily.io (4 articles, April 10–11, 2026)